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Rep. Bush & Sen. Paradee & Sen. Hansen
Reps. Cooke, Morrison, Neal, Ross Levin, Snyder-Hall;
Sens. Cruce, Hoffner

HOUSE OF REPRESENTATIVES
153rd GENERAL ASSEMBLY

HOUSE BILL NO. 116

AN ACT TO AMEND TITLE 26 OF THE DELAWARE CODE RELATING TO PUBLIC UTILITY RATES.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF DELAWARE:

Section 1. Amend Chapter 1, Title 26 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 303. Unjust or unreasonable rates and preferences; change in fuel adjustment rate; economic development credit for qualifying corporations.

(e) (1) The Commission may authorize an electric or gas public utility to establish an individual or joint rate for any product supplied or service rendered within the State for the purpose of ensuring basic utility service for the State's low-income residential customers, qualified by eligibility for the Low Income Home Energy Assistance Program or other equivalent program, where prior to authorizing such individual or joint rate, the Commission finds all of the following:

a. That such rate is in the public interest.

b. The cost of credits and incremental administrative costs to manage the program would be deferred to a regulatory asset and recovered via a surcharge applicable to all customer classes.

c. That such rate provides a 20% discount from standard residential distribution costs.

(2) Eligibility for a low-income rate under this section will be determined annually by any participating electric or gas utility.

(3) The Public Service Commission must review a discount rate authorized under paragraph (e)(1) of this section every five years and determine whether such rate should be re-authorized.

SYNOPSIS

This Act provides the Public Service Commission with the flexibility to consider and approve a discounted gas or electric residential utility rate for qualified low-income customers (those eligible to participate in the Low Income Home Energy Assistance Program), provided the discount is 20% of standard residential distribution rates. This permits low-income customers to receive utility distribution services at a lower cost. The cost of credits and incremental administrative costs to manage the program would be deferred to a regulatory asset and recovered via a surcharge applicable to all customer classes. A utility offering a discounted low-income rate is responsible for annually determining customer eligibility. The Public Service Commission must review any discount rate approved under this Act every five years to determine if the discount rate should be re-authorized.